

Module V

Leadership

Syllabus

MODULE V : Leadership and Organizational Culture (7 hrs)

Leadership - Introduction, Traditional and modern theories of Leadership. Organizational culture - Elements of Organizational Culture, Hofstede's culture typology. Organizational change- Resistance to change, Four approaches to organizational change.
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Leadership

→ability to influence and inspire others to work collaboratively towards a common goal, requiring the leader to guide, motivate, and empower individuals to achieve organizational objectives.

à Can be defined in terms of group processes, personality, compliance, behaviors, power, goal achievement, interactions etc:-

à Individual can be a leader without being a manager and can be a manager without being a leader.

à Historical theories: Iowa leadership study, The ohio state leadership study, The Early Michigan Leadership study.

Leadership and management are not the same.

- **Leadership** = influencing people
- **Management** = planning, organizing, controlling

A person can:

- lead without formal authority
- manage without inspiring others

An individual can influence and guide others **without holding any official position.**

Example: College . A student who:

- motivates classmates
- organizes group study
- helps others understand concepts

Not officially appointed → but still a **leader**

Example: Company . A senior employee who:

- guides juniors
- solves problems
- inspires team

No managerial title → still a **leader**

Key Point: Leadership comes from influence, respect, and behavior, not position.

A person can be a MANAGER without being a LEADER

A person may have authority and position but **fail to inspire or influence people.**

College Example

- A class representative who:
 - only gives instructions
 - does not support or motivate others

Has position → but not a true leader

Company Example

- A manager who:
 - focuses only on rules
 - controls employees
 - ignores team needs

Employees follow due to authority, not respect

Key Point : Management is based on authority, but leadership is based on influence.

- A **leader** says: “Let’s do this together”
- A **manager** says: “Do this because I said so”

Real-Life Insight

Best organizations need: **Managers who are also leaders**

Because:

- Management ensures order
- Leadership drives motivation

Conclusion

- A person can lead without managing
- A person can manage without leading
- But the most effective individuals combine **both roles**

Takeaway

All leaders are not managers, and all managers are not leaders—but the best managers are also good leaders.

What makes leaders different from managers?

Leaders and managers are both important in organizations, but they are **not the same**. The key difference lies in **how they influence people, what they focus on, and how they achieve goals**.

1. Difference in Core Function

A **manager** is primarily responsible for:

- planning
- organizing
- controlling resources

A **leader**, on the other hand, focuses on:

- influencing people
- motivating them
- guiding them toward a vision

In simple terms:

- Managers ensure work is done
- Leaders ensure people are willing to do the work

2. Source of Power

Managers derive their power from:

- formal authority
- organizational position

Leaders derive their power from:

- personal influence
- trust
- respect

People follow managers because they **have to**, but they follow leaders because they **want to**.

3. Vision vs Execution

Managers focus on:

- short-term goals
- execution of plans

Leaders focus on:

- long-term vision
- direction and growth

4. Focus and Orientation

Managers are:

- task-oriented
- concerned with efficiency and processes

Leaders are:

- people-oriented
- concerned with inspiration and vision

Managers ask:

“How can we complete this task?”

Leaders ask:

“Why are we doing this, and how can we do it better?”

5. Approach to Change

Managers tend to:

- maintain stability
- follow existing systems

Leaders tend to:

- drive change
- challenge the status quo

Leaders are often agents of innovation and transformation.

6. Relationship with Employees

Managers:

- supervise and control
- focus on rules and procedures

Leaders:

- build relationships
- encourage collaboration and trust

Example: College

A manager-type student leader may:

- assign tasks
- ensure deadlines are met
- **A leader-type student** may:
 - inspire classmates
 - motivate them to perform better
 - create enthusiasm

Example: Company

A manager ensures:

- employees meet targets
- **A leader inspires:**
 - employees to innovate and improve

- What makes Leaders different from managers?

Manager Characteristics	Leader Characteristics
Administers	Innovates
A copy	An original
Maintains	Develops
Focuses on systems and structure	Focuses on people
Relies on control	Inspires trust
Short-range view	Long-range perspective
Asks how and when	Asks what and why
Eye on the bottom line	Eye on the horizon
Imitates	Originates
Accepts the status quo	Challenges the status quo
Classic good soldier	Own person
Does things right	Does the right thing

- Organizational leader: “The heroic individual, often charismatic, whose positional power, intellectual strength, and persuasive gifts motivate followers”

Traditional theories of Leadership

- **Great person theory of leadership:**

- Leaders were felt to be born, not made.
- Some individuals are born with certain traits that allow them to emerge out of any situation or period of history to become leaders
- Genetics and hardwiring may play in leadership
- Leadership is affected by both nature (genetics) and nurture (development)

Real-World Examples

In a college, a student who naturally takes control during events, motivates others, and leads confidently without formal training may be seen as a “born leader.”

The theory often refers to historical and influential personalities such as:

- **Mahatma Gandhi**
- **Napoleon Bonaparte**

These individuals are considered “great leaders” because of their natural ability to influence and inspire large groups of people.

The Great Person Theory has several limitations:

1. It ignores the role of learning, experience, training.
2. It assumes leadership is only for a few people.
3. It does not consider situational factors, environmental influences.
4. It is considered **too simplistic and outdated** in modern organizational studies.

Traditional theories of Leadership

- **Trait theory of leadership :**

- leaders possess certain inborn or inherent characteristics that make them effective leaders.
- According to this theory, leadership is largely determined by personal qualities such as confidence, communication skills, integrity, decisiveness.
- The idea is that individuals who have these traits are more likely to become successful leaders.
- Leaders were bigger and brighter than those being led, but not too much so.
- Leader was more intelligent than the average of the group being led, but, interestingly, was not the most intelligent of the group.

Example

In a college , a student who confidently presents ideas, takes initiative in group activities, and communicates effectively is often perceived as a leader.

In organizations, leaders like Ratan Tata are often associated with qualities such as integrity, vision, and calm decision-making.

Limitations

- There is no universal list of traits that guarantees leadership success
- Not all individuals with these traits become leaders
- It ignores situational factors

Traditional theories of Leadership

- **Trait theory of leadership :**
 - “Big Five” personality traits help explain why some individuals are more effective leaders:
 - Extraversion → strongest predictor of leadership
 - Conscientiousness → ensures reliability
 - Openness → supports innovation
 - Emotional stability → helps in stress management
 - Agreeableness → builds relationships
 - Although these traits are important:
 - No single trait guarantees leadership success
 - Leadership also depends on situation, behavior, skills
 - Optimism, hope, resiliency, emotional intelligence, and especially self-efficacy. Leaders with these traits perform better, motivate others, handle stress effectively, adapt to change.
 - Skill development-effective leaders are believed to possess certain **key traits and skills** that help them guide others and achieve goals.
 - Among the important leadership-related skills are Creativity, organization, persuasiveness, diplomacy and tactfulness, knowledge of the task, and the ability to speak well

Traditional theories of Leadership : Leader Competencies

1. Drive, or the **inner motivation** to pursue goals
2. **Leadership motivation** - desire to lead others
3. **Integrity**, which includes truthfulness and ethical behaviour
4. **Self-confidence** that leads others to feel confidence,
5. **Intelligence**, which is usually focused in the ability to process information, analyze alternatives, and discover opportunities
6. **Knowledge of the business**, so that ideas that are generated help the company to survive and thrive
7. **Emotional intelligence**, based on a self-monitoring personality -the leader is aware of their own emotions and can understand others' feelings.

Group and Exchange Theories of Leadership

view leadership as a **social and relational process** rather than just a function of individual traits. These theories emphasize that leadership effectiveness depends on the **interaction and mutual exchange between leaders and followers**.

- **Leader provides more benefits**/rewards than burdens/costs for followers
- **Positive exchange between** the leaders and followers in order for group goals to be accomplished.
- Superiors make investments (e.g., salary, office space) in and receive returns (e.g., performance) from subordinates
- Subordinates make investments in and receive returns from superiors.
- Modern leadership theories explain that leadership is not just about the leader alone. Instead, leadership can be understood from **three important domains**:
- **Three domains of Leadership** – Leader Based, Follower Based and Relationship based

Group and Exchange Theories of Leadership

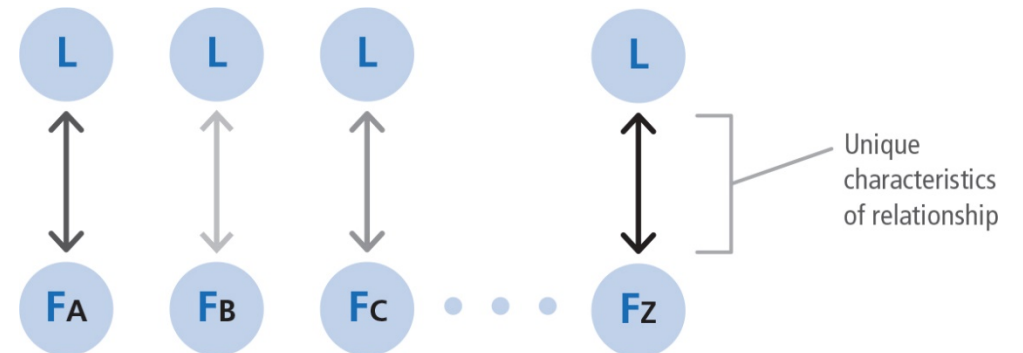
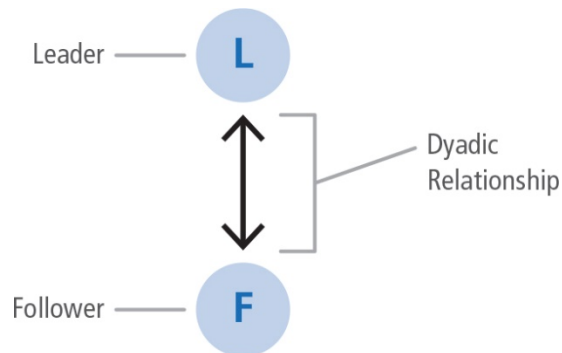
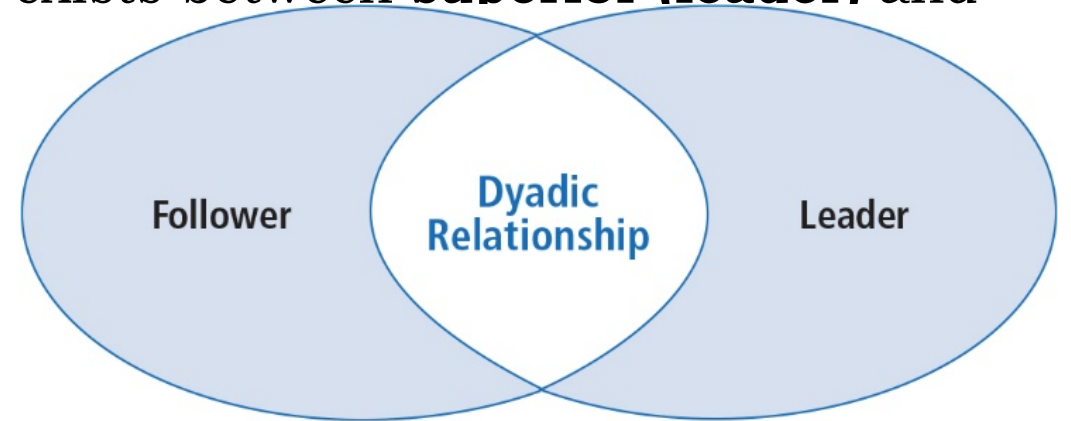
TABLE 13.2
Summary of Three
Domains of
Leadership

Source: Adapted from George B. Graen and Mary Uhl-Bien, "Development of Leader-Member Exchange (LMX) Theory of Leadership over 25 Years: Applying a Multi-Level Multi-Domain Perspective," *Leadership Quarterly*, Vol. 6, No. 2, 1995, p. 224.

	Leader-Based	Follower-Based	Relationship-Based
What is leadership?	Appropriate behavior of the person in leader role	Ability and motivation to manage one's own performance	Trust, respect, and mutual obligation that generates influence between parties
What behaviors constitute leadership?	Establishing and communicating vision; inspiring, instilling pride	Empowering, coaching, facilitating, giving up control	Building strong relationships with followers; mutual learning and accommodation
Advantages	Leader as rallying point for organization; common understanding of mission and values; can initiate whole-sale change	Makes the most of follower capabilities; frees up leaders for other responsibilities	Accommodates differing needs of subordinates; can elicit superior work from different types of people
Disadvantages	Highly dependent on leader; problems if leader changes or is pursuing inappropriate vision	Highly dependent on follower initiative and ability	Time consuming; relies on long-term relationship between specific leaders and members
When appropriate?	Fundamental change; charismatic leader in place; limited diversity among followers	Highly capable and task-committed followers	Continuous improvement of teamwork; substantial diversity and stability among followers; network building
Where most effective?	Structured tasks; strong leader position power; member acceptance of leader	Unstructured tasks; weak position power; member nonacceptance of leader	Situation favorability for leader between two extremes

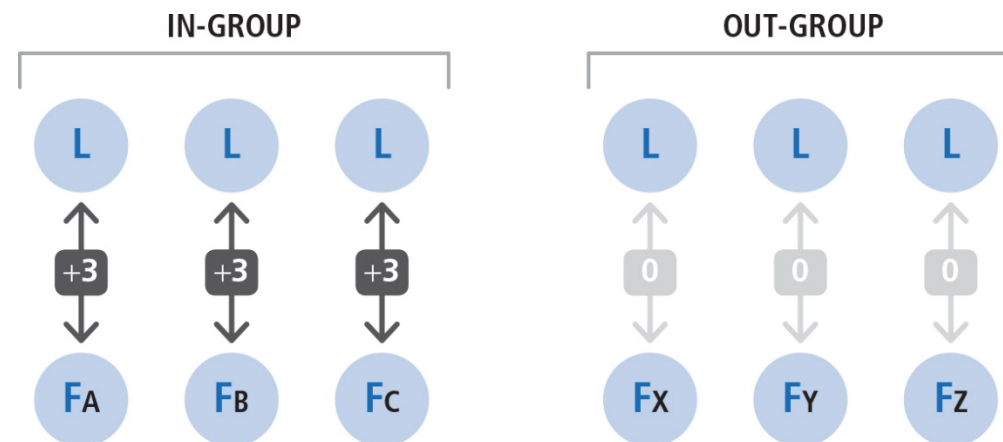
Leader-Member Exchange (LMX) Model

- Conceptualizes leadership as a process rather than a position or trait.
- Centered on the interactions between a leader and followers.
- Dyadic relationship (one-to-one) between leaders and followers.
- Instead of treating the group as a whole, the leader forms **individual relationships** with each member.
- Vertical Dyadic Relationship means the relationship exists between **superior (leader)** and **subordinate (follower)**.
- leaders do not have a single uniform relationship with all followers.
- Instead, they develop **different vertical relationships** with different individuals.

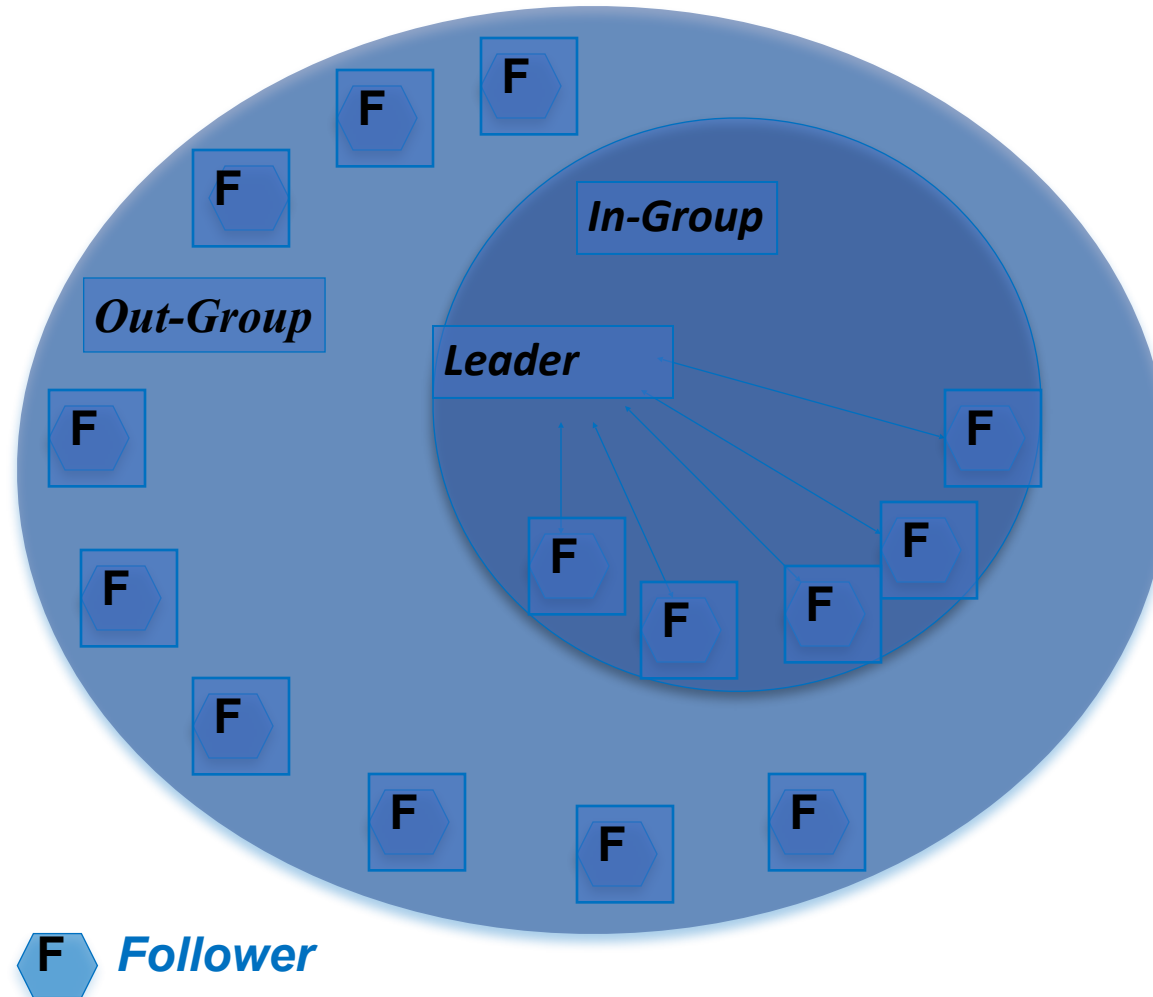


Leader-Member Exchange (LMX) Model

- Researchers found two general types of linkages (or relationships)
- In-group : Relationships marked by mutual trust, respect, liking, and reciprocal influence
- Receive more information, influence, confidence, and concern than out-group members
- Out-group : Relationships marked by formal communication based on job descriptions



In-Group and Out-Group Followers



In-Group

- More information, influence, confidence, and concern from leader
- More dependable, highly involved, and communicative than out-group

Out-Group

- Less compatible with leader
- Usually just come to work, do the job, and go home

Leader-Member Exchange (LMX) Model

- LMX has evolved through various stages:
 - Discovery of differentiated dyads- This stage established the idea that leadership is **not uniform across all followers**.
 - Investigation of characteristics of LMX relationships and their organizational implications/outcomes-this stage showed the quality of leader-member relationships affects organizational success.
 - Description of dyadic partnership building- This stage emphasizes that leadership relationships can be **improved and developed**.
 - Aggregation of differentiated dyadic relations to group and network levels- Leadership is now seen as part of a **larger system of relationships** within the organization.

Contingency Theory of Leadership

The central idea of contingency theory is:

A leadership style that works in one situation may not work in another.

Therefore, leaders must either:

- adapt their style, or
- be placed in situations where their style is effective

In simple terms:

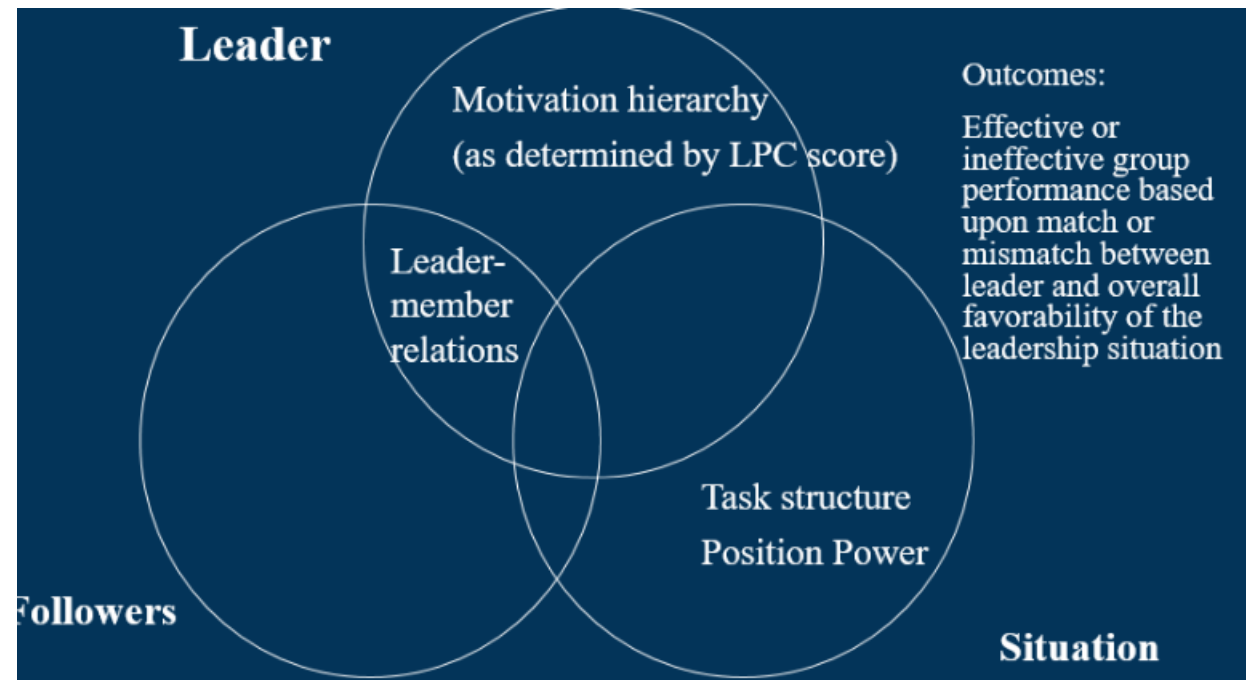
Leadership effectiveness = Leader + Situation

Fiedler's Contingency Model of Leadership Effectiveness

- explain that leadership effectiveness depends on the Relationship between **leadership style and the favorableness of the situation**.
- identified two types of leaders: **Task-oriented and Relationship-oriented leaders**
- **Task-oriented leaders** → focus on completing work
- **Relationship-oriented leaders** → focus on people and relationships.
- Which style is effective depends on how favorable the situation is.
- Situational favorableness refers to how much **control and influence the leader has** over the situation.
- **Fiedler identified** Three empirically derived dimensions:
 1. The **leader-member relationship**, which is the most critical variable in determining the situation's favorableness
 2. The **degree of task structure**, which is the second most important input into the favorableness of the situation
 3. The **leader's position power** obtained through formal authority, which is the third most critical dimension of the situation

Fiedler's Contingency Model of Leadership Effectiveness

- Situations are favorable to the leader if all three of these dimensions are high.
- When the situation was only moderately favorable or unfavorable (the intermediate range of favorableness), the human-oriented or democratic type of leader was most effective.
- Fiedler's Contingency Model shows that **there is no best leadership style**, and effectiveness depends on how well the leader's style matches the situation.



Path Goal Leadership theory

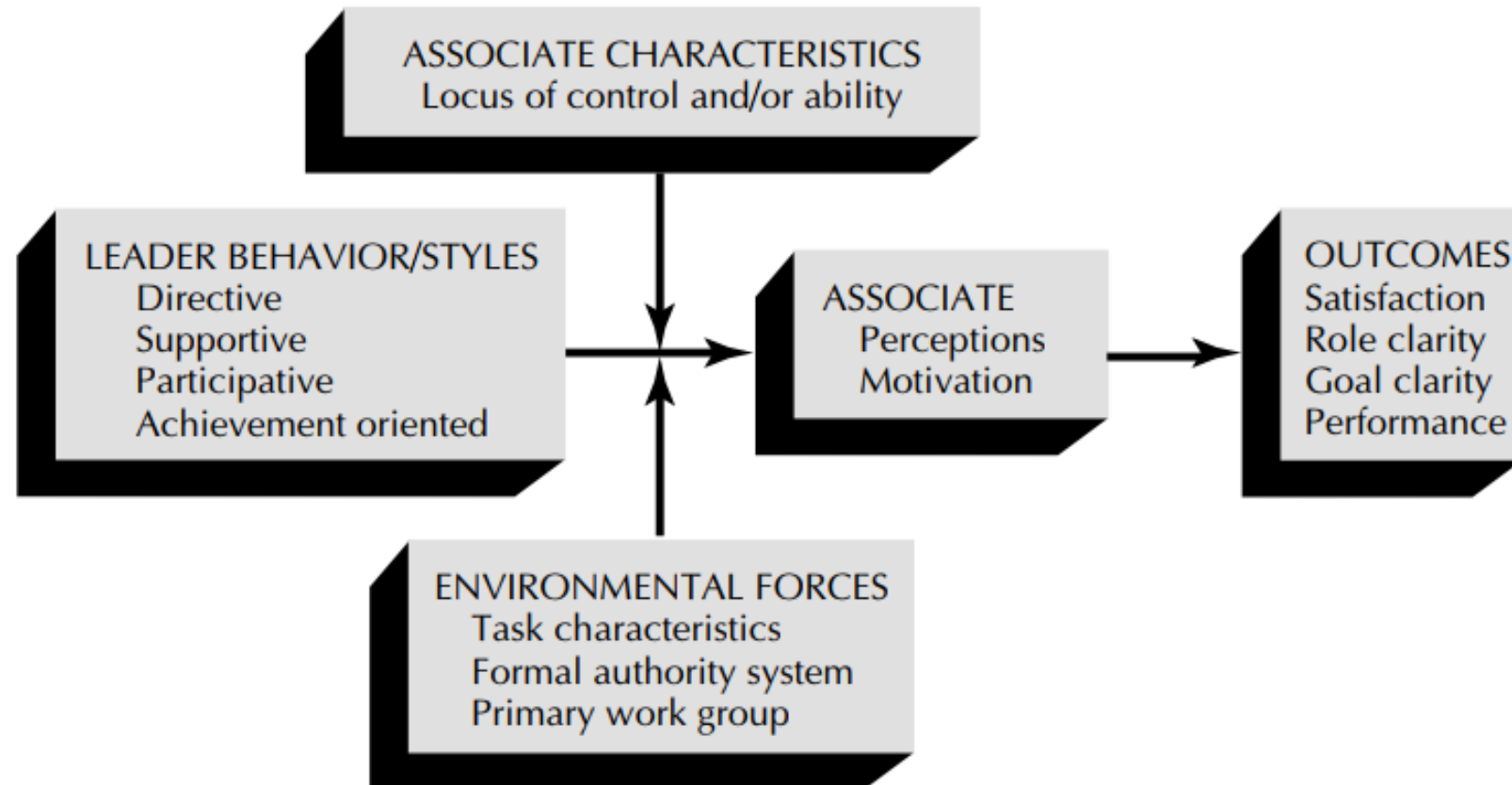
- Explains how a leader's behavior influences employee motivation, satisfaction, and performance.
- Leaders are effective when they help followers see the path to goals and make it easier to achieve them.
- identifies **four leadership styles**, and leaders can switch between them depending on the situation.
- **Directive leadership**: Associates know exactly what is expected of them, and the leader gives specific directions. There is no participation by subordinates in decision-making.
- **Supportive leadership**: The leader is friendly and approachable and shows a genuine concern for associates.
- **Participative leadership**: The leader asks for and uses suggestions from associates but still makes the decisions.
- **Achievement-oriented leadership**: Leader sets challenging goals for associates and shows confidence that they will attain these goals and perform well.
- When Each Style is Used, the leader chooses the style depending on task complexity, employee ability and work environment.

Example:

- Unclear task → directive leadership
- Stressful situation → supportive leadership
- Skilled team → participative leadership
- High-performance team → achievement-oriented

Path Goal Leadership theory

- Path-goal theory — Suggests that these various styles can be and actually are used by the same leader in different situations



Modern Theories of leadership

- Besides the established trait, group and exchange, contingency, and path-goal theories of leadership
- Modern theories of leadership focus more on
 - Charismatic theory
 - Transformational theory
 - Substitutes theory
 - Authentic theories

Charismatic Leadership theory

- Charismatic leaders are characterized by
 - Self-confidence
 - Confidence in their associates
 - High expectations for associates
 - Ideological vision
 - Use of personal example
 - Superior debating
 - Persuasive skills
 - Technical expertise
 - Fostering of attitudinal, behavioral & emotional changes in their followers

Charismatic Leadership theory

TABLE 13.3
Ethical and Unethical
Characteristics of
Charismatic Leaders

Source: Jane M. Howell and Bruce J. Avolio, "The Ethics of Charismatic Leadership: Submission or Liberation?" *Academy of Management Executive*, May 1992, p. 45. Used with permission.

Ethical Charismatic Leader

- Uses power to serve others
- Aligns vision with followers' needs and aspirations
- Considers and learns from criticism
- Stimulates followers to think independently and to question the leader's view
- Open, two-way communication
- Coaches, develops, and supports followers; shares recognition with others
- Relies on internal moral standards to satisfy organizational and societal interests

Unethical Charismatic Leader

- Uses power only for personal gain or impact
- Promotes own personal vision
- Censures critical or opposing views
- Demands own decisions be accepted without question
- One-way communication
- Insensitive to followers' needs
- Relies on convenient, external moral standards to satisfy self-interests

leadership

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Transformational Leadership theory

- James MacGregor Burns: Two types of political leadership: **transactional and transformational**

TABLE 13.4 Characteristics and Approaches of Transactional versus Transformational Leaders

Source: Bernard M. Bass,
“From Transactional to
Transformational Leadership:
Learning to Share the Vision,”
Organizational Dynamics,
Winter 1990, p. 22. Used with
permission.

Transactional Leaders

1. *Contingent reward*: Contracts the exchange of rewards for effort; promises rewards for good performance; recognizes accomplishments.
2. *Management by exception (active)*: Watches and searches for deviations from rules and standards; takes corrective action.
3. *Management by exception (passive)*: Intervenes only if standards are not met.
4. *Laissez-faire*: Abdicates responsibilities; avoids making decisions.

Transformational Leaders

1. *Charisma*: Provides vision and sense of mission; instills pride; gains respect and trust.
2. *Inspiration*: Communicates high expectations; uses symbols to focus efforts; expresses important purposes in simple ways.
3. *Intellectual stimulation*: Promotes intelligence; rationality; and careful problem solving.
4. *Individual consideration*: Gives personal attention; treats each employee individually; coaches; advises.

Transformational Leadership theory

- Avolio: Transformational leaders are characterized by
 - Idealized leadership
 - Inspiring leadership
 - Intellectual stimulation
- Individualized consideration represent a cluster of interrelated styles aimed at the following:
 1. Changing situations for the better
 2. Developing followers into leaders
 3. Overhauling organizations to provide with new strategic directions
 4. Inspiring people by providing an energizing vision and high ideal for moral and ethical conduct

Transformational Leadership theory

- Tichy and Devanna: Found that effective transformational leaders share the following characteristics:
 1. They identify themselves as change agents.
 2. They are courageous.
 3. They believe in people.
 4. They are value driven.
 5. They are lifelong learners.
 6. They have the ability to deal with complexity, ambiguity, and uncertainty.
 7. They are visionaries.

Substitutes for Leadership Theory

- “Substitutes”: Make leader behavior unnecessary and redundant
- Neutralizers: Prevent the leader from behaving in a certain way or that counteract the behavior
- Tries to point out that some things are beyond leaders’ control
- Leaders do not have mystical powers over people.
- The situation or context plays a role

SUBORDINATE CHARACTERISTICS

Experience, ability, and training



Substitute for instrumental leadership

Professional orientation



Substitute for instrumental and supportive leadership

Indifference toward organizational rewards



Neutralizes instrumental and supportive leadership

TASK CHARACTERISTICS

Structured and routine task



Substitute for instrumental leadership

Feedback within the task



Substitute for instrumental leadership

Intrinsically satisfying task



Substitute for supportive leadership

ORGANIZATION CHARACTERISTICS

Cohesive work groups



Substitute for instrumental and supportive leadership

Low position power of leader



Neutralizes instrumental and supportive leadership

Formalization



Substitute for instrumental leadership

Inflexibility



Neutralizes instrumental leadership

Leader physically isolated from subordinates



Neutralizes instrumental and supportive leadership

Authentic Theory of Leadership

- *Authentic leadership* in organizations can be defined as:
- A process that draws from both positive psychological capacities and a highly developed organizational context, which results in both greater self-awareness and self-regulated positive behaviors on the part of leaders and associates, fostering positive self-development.
- The authentic leader is confident, hopeful, optimistic, resilient, transparent, moral/ethical, future oriented, and gives priority to developing associates to be leaders.

FIGURE 13.4 Authentic Leadership Development Model

Source: Adapted from Fred Luthans and Bruce Avolio, "Authentic Leadership Development," in K. S. Cameron, S. E. Dutton, and R. E. Quinn (Eds.), *Positive Organizational Scholarship*, Berrett-Koehler, San Francisco, 2003, p. 251, and Bruce J. Avolio and Fred Luthans, *The High Impact Leader: Moments Matter in Accelerating Authentic Leadership Development*, McGraw-Hill, New York, 2006.

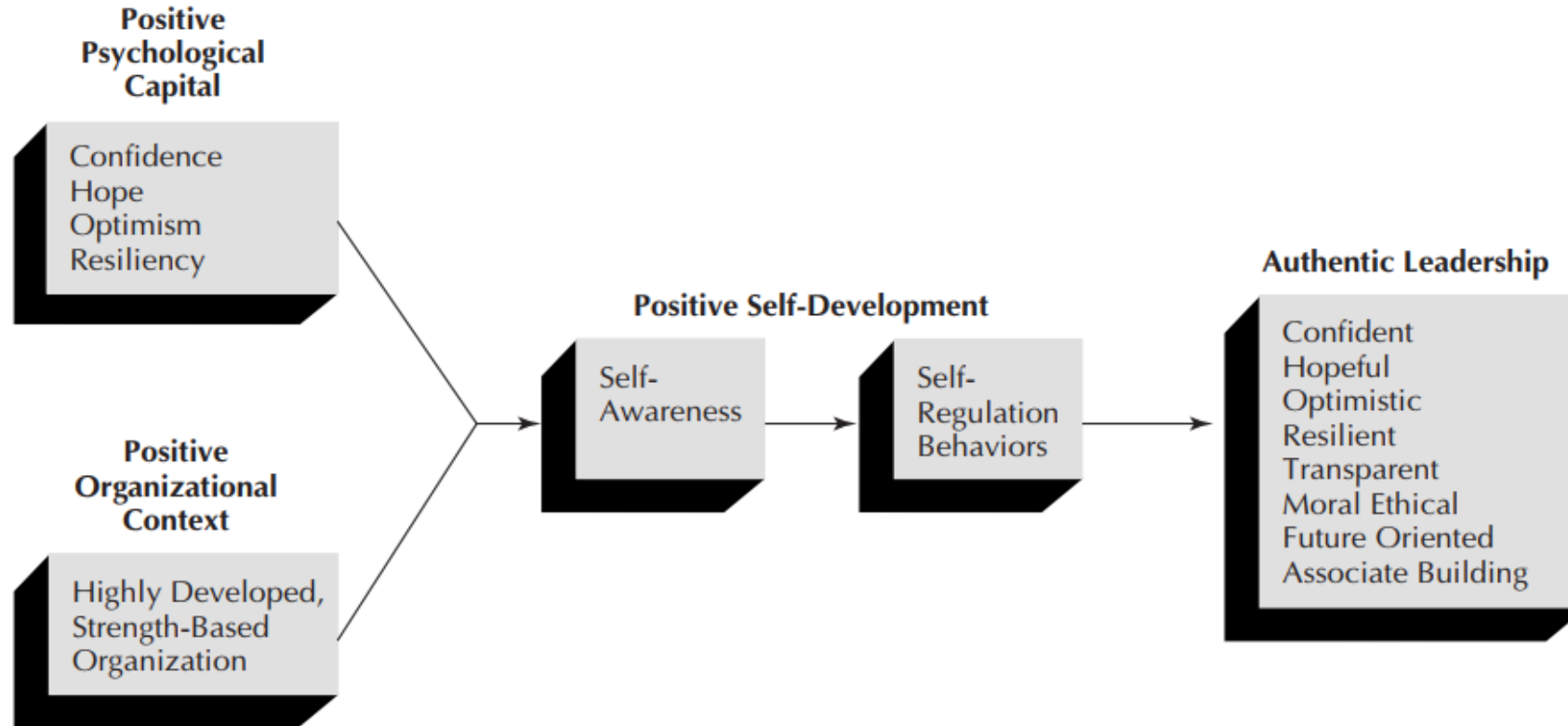


Figure depicts authentic leadership development process and product. Authentic leadership theory treat leadership as both a developmental *process* and *product* centered on authenticity.

Leadership across Cultures

Factors that potentially contribute to differences in effective leader processes across cultures such as :

Personal Values: The personal values held by a manager shape his or her perception of a situation, influence the analysis of alternative solutions to a problem, and affect the ultimate decision made by the leader.

Backgrounds of the Managers : Educational background, class and family status also can have an influence.

Interpersonal Skills : Leaders vary in their views of rules and procedures, deference to authority, levels of dependence and independence, willingness to compromise, and other interpersonal tactics.

Project GLOBE

- ❑ A major international research project by Robert House, called Global Leadership and Organizational Behavior Effectiveness(GLOBE).
- ❑ Studies by 170 country-based coinvestigators (CCIs) gathered data from 18,000 managers from 62 countries.
- ❑ Goal of the GLOBE project was to develop societal and organizational measures of culture and leader attributes that were appropriate to use across all cultures.
- ❑ The GLOBE research indicated **nine dimensions** of cultures that differentiate societies and organizations as given below:
 1. **Power distance**, or the degree to which members of a collective expect power to be distributed equally
 2. **Uncertainty avoidance**, which is the extent a society, organization, or groups rely on norms, rules, and procedures to alleviate the unpredictability of future events
 3. **Humane orientation**, reflected in the degree to which a collective encourages and rewards individuals for being fair, altruistic, generous, caring, and kind to others

Project GLOBE

4. ***Institutional Collectivism***, described as the degree to which organizational and societal institutional practices encourage and reward the collective distribution of resources and collective actions
5. ***In-Group Collectivism***, which is the degree to which individuals express pride, loyalty, and cohesiveness in their organizations or families
6. ***Assertiveness***, defined as the degree to which individuals are assertive, confrontational, and aggressive in their relationships with others
7. ***Gender egalitarianism***, expressed as the degree a collective minimizes gender inequality
8. ***Future orientation***, or the extent to which individuals engage in future-oriented behaviors such as delaying gratification, planning, and investing in the future
9. *Performance orientation*, suggested by the degree to which a collective encourages and rewards group members for performance improvement and excellence

Project GLOBE

❑ The six leader attributes and behaviors suggested by GLOBE.

1. ***Charismatic/Value-Base***—the ability to inspire, to motivate, and to expect high performance outcomes from others on the basis of core beliefs.
2. ***Team-Oriented***—effective team building and implementation of a common purpose/goal among team members.
3. ***Participative***—the degree to which managers/leaders involve others in making and implementing decisions.
4. ***Humane-Oriented***—supportive, considerate, compassionate, and generous leadership.
5. ***Autonomous***—independent and individualistic leadership.
6. ***Self-Protective***—ensuring the safety and security of the individual, it tends to be an approach that is self-centered and face saving.

Model Questions

1. Briefly summarize the findings of the three classic leadership studies.
2. Why do you think the “Big Five” personality traits have been recently found to relate to effective leaders whereas over the years personality traits in general have not?
3. How do the group theories differ from the trait theories of leadership?
4. Name and describe the main “competencies” that may be associated with a leader’s effectiveness.
5. What are the three critical situational variables identified by Fiedler? If these are very favorable, what is the most effective style to use?
6. In simple terms, what is the path-goal theory of leadership? What is the leader’s function in this conceptualization?

Question Model

7. What are the major differences between transactional leaders and transformational leaders? Can you clarify these differences in how today's organizations are led?
8. What is meant by “substitutes for,” and “neutralizers of,” leadership? Give some subordinate, task, and organizational examples of these substitutes and neutralizers.
9. In your own words, describe what is meant by an authentic leader. How does this differ from previous theories, and why may it be so important now?
10. What is the GLOBE project? What cultural dimensions have been identified by the GLOBE researchers? What findings have been found by this GLOBE research effort in terms of the six major leadership dimensions found in various cultures?

THANK YOU